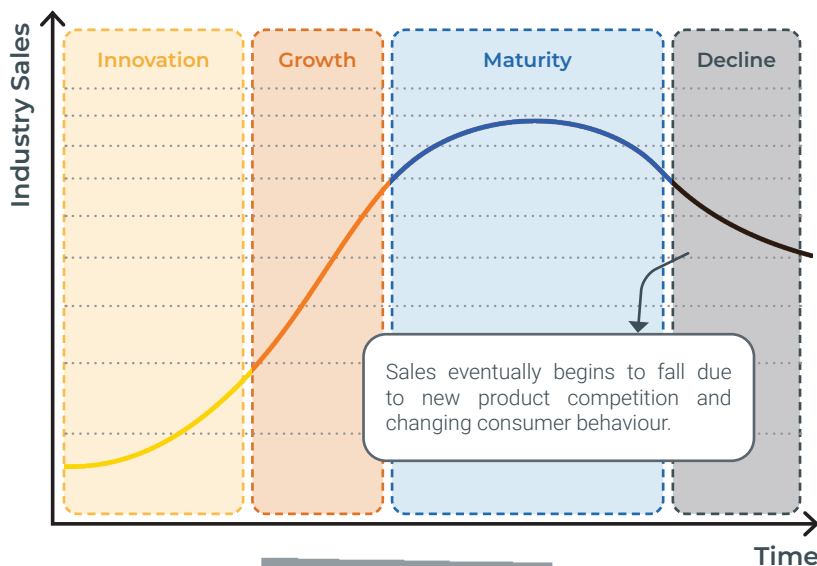




Decline



The sales and profits fall sharply and, as a result, promotional expenditure has to be cut down drastically.

To deal with the decline, companies may choose to focus on their most profitable product lines or services to maximise profits and stay in the industry.

Some large companies focus on acquiring smaller or failing competitors to become the dominant player.^[18]

The major characteristics of this stage are:

- Rapid decrease in sales
- Further decrease in prices
- No or very little promotional expenses